

major pain points for the sector: high royalty and spectrum availability,” says Vivekanand Subbaraman, Research Analyst at Ambit Capital. Adds Rajashree Murkute, Senior Director of CareEdge Ratings: “Post announcement of the reforms, the telcos undertook tariff hikes during November 2021, which aided in increasing their cash flows and supported their credit profiles.” However, the rise in tariffs resulted in telcos losing 7 million active subscribers in April 2022, the sharpest decline in recent times. An analysis by financial services firm Jefferies attributed this to a “SIM-consolidation amidst rising tariffs”. This has come as a blessing in disguise for market players Reliance Jio and Bharti Airtel, helping them to shed dormant and low-value customers.

132

Then, as Deepak Jasani, Head of Retail Research at HDFC Securities, points out, the reforms also brought several new areas into the ambit of telecom services, including OTT, internet-based and satellite-based communication services, besides

in-flight, maritime, broadcasting, internet and broadband services.

This August, 5G auctions fetched a record ₹1.5 lakh crore for the government. Reliance Jio emerged as the top buyer of airwaves, spending over ₹88,000 crore and Bharti Airtel stood second with ₹43,000 crore. The other two bidders, Vodafone Idea (Vi) and Adani Data Networks (ADN), bid for selective spectrum, with the latter planning to roll out a non-public network (NPN) to service its own businesses. Further, Indian telcos are expected to invest around \$19.5 billion in 5G infrastructure, per a report by the telecom industry think tank GSMA. The Big Three of Indian telecom, Reliance Jio, Bharti Airtel and Vodafone Idea, are getting ready to roll out commercial 5G services in India, with the first two having already launched beta services in select circles.

LOOKING BEYOND

Infrastructure and equipment providers to the telecom industry also

see immense growth ahead. Tata group company Tejas Networks, which manufactures equipment for building telecommunication networks, reported significant progress on home-grown 4G and 5G stack working with BSNL. It sees global opportunities emerging amid geopolitical realignments and growing cybersecurity concerns, motivating customers to diversify their sourcing base to reduce exposure to equipment from certain countries. “We believe we are well positioned to benefit from this trend. We will use our India success as a platform to scale up our international business by capitalising on the Tata brand strength and deep customer relationships of other Tata group companies with global telcos,” says Sanjay Nayak, CEO and MD of Tejas.

The company is also looking at expanding in 4G and 5G wireless technologies and building upon its existing optical networking base. Furthermore, the acquisition of Saankhya Labs, a wireless commu-

THE CONNECTED CLUB

Despite low ARPU and huge spectrum charges, most telcos have done well financially in the past year

Company	Rank 2022/ 2021	Average m-cap*	Total income	Profit after tax	ROE	TTM P/E multiple
► Reliance Industries	1/1	₹17,00,946.31 crore (20.76)	₹7,14,909.00 crore (47.69)	₹67,565.00 crore (26.95)	9.39%	26.57
► Bharti Airtel	10/11	₹4,18,493.76 crore (40.16)	₹1,17,081.20 crore (15.63)	₹5,882.00 crore (N/A)	9.39%	74.36
► Indus Towers	80/69	₹62,954.21 crore (2.27)	₹28,292.70 crore (96.52)	₹6,373.10 crore (118.80)	33.53%	10.87
► Vodafone Idea	158/147	₹31,318.69 crore (15.03)	₹38,630.90 crore (-8.81)	-₹28,246.60 crore (N/A)	NA	NA
► Tata Teleservices (Maharashtra)	191/468	₹25,251.78 crore (551.44)	₹1,110.72 crore (4.02)	-₹1,215.00 crore (N/A)	NA	NA
► Tejas Networks	444/638	₹6,218.93 crore (234.77)	₹593.89 crore (7.40)	-₹62.71 crore (-267.05)	-4.72%	NA

N/A: NOT APPLICABLE AS YOY FIGURES ARE NOT COMPARABLE; NA: NOT AVAILABLE; *AVERAGE MARKET CAP IS FROM OCTOBER 1, 2021, TO SEPTEMBER 30, 2022; TOTAL INCOME, PAT AND ROE FOR FY22; TTM: TRAILING 12 MONTHS; P/E MULTIPLE AS OF NOVEMBER 7, 2022; FIGURES IN BRACKETS ARE PERCENTAGE CHANGE YOY; RESULTS ARE ON CONSOLIDATED BASIS (STANDALONE IN CASES WHERE CONSOLIDATED DATA IS NOT DECLARED) SOURCE ACE EQUITY